



CONSOLIDATED STATEMENT OF COMPREHENSIVE INCOME

	2010	2009
	KShs'000	KShs'000
Revenue	3,604,366	2,811,861
Cost of sales	(2,580,638)	(1,650,723)
Gross profit	1,023,728	1,161,138
Other income	106,328	61,162
Factory expenses	(175,338)	(192,752)
Administrative expenses	(224,043)	(228,243)
Distribution costs	(103,259)	(76,198)
Profit before depreciation, impairment and finance costs	627,416	725,107
Impairment losses	(203,066)	(99,640)
Depreciation and amortisation	(121,782)	(81,524)
Results from operating activities	302,568	543,943
Finance income	22,296	58,632
Finance costs	(66,219)	(76,131)
Net finance costs	(43,923)	(17,499)
Profit before income tax	258,645	526,444
Income tax expense	(74,795)	(230,411)
Profit for the year	183,850	296,033
Other comprehensive income		
Revaluation surplus on property, plant and equipment	750,875	470,394
Deferred tax on revaluation surplus	(213,455)	(141,118)
Foreign currency translation differences on foreign operations	(34,491)	(27,618)
Total other comprehensive income	502,929	301,658
Total comprehensive income for the year	686,779	597,691
Profit for the year is attributable to:		
Equity holders of the company	226,211	308,064
Non-controlling interest	(42,361)	(12,031)
	183,850	296,033
Total comprehensive income attributable to:		
Equity holders of the company	447,245	645,741
Non-controlling interest	239,534	(48,050)
	686,779	597,691
Basic and diluted earnings per share	KShs 1.12	KShs 1.52

CONSOLIDATED STATEMENT OF FINANCIAL POSITION AS AT 31 DECEMBER 2010

	2010	2009
	KShs'000	KShs'000
ASSETS		
Non-current assets		
Property, plant and equipment	2,376,178	1,609,056
Prepaid operating lease rentals	159,963	167,174
Investment property	180,502	60,000
Intangible assets	6,116	7,997
	2,722,759	1,844,227
Current assets		
Inventories	662,452	711,064
Trade and other receivables	1,088,600	976,960
Cash and bank balances	44,634	11,132
	1,795,686	1,699,156
TOTAL ASSETS	4,518,445	3,543,383
EQUITY AND LIABILITIES		
Capital and reserves		
Issued capital	101,250	101,250
Share premium	545	545
Revaluation reserve	669,644	424,024
Retained earnings	1,087,852	962,891
Foreign currency translation reserve	(22,885)	1,701
Total equity attributable to equity holders of the company	1,836,406	1,490,411
Non-controlling interest	409,903	170,369
Total equity	2,246,309	1,660,780
Non-current liabilities		
Bank loans and borrowings	402,630	347,444
Liability for staff gratuity	19,297	17,116
Deferred tax liability	450,847	270,959
	872,774	635,519
Current liabilities		
Bank overdraft	86,358	74,491
Trade and other payables	532,321	361,779
Current income tax payable	53,172	34,427
Short-term portion of bank loan	712,610	741,732
Dividends payable	14,901	34,655
	1,399,362	1,247,084
TOTAL EQUITY AND LIABILITIES	4,518,445	3,543,383
Approved by the Board of Directors on 8th February 2011		

CONSOLIDATED STATEMENT OF CASH FLOWS

	2010	2009
	KShs'000	KShs'000
Cash generated from operations	445,324	761,941
Income taxes paid	(88,895)	(332,544)
Cash generated from operating activities	356,429	429,397
CASH FLOWS FROM INVESTING ACTIVITIES		
Proceeds from disposal of property, plant and equipment	-	2,458
Purchase of property, plant and equipment	(176,972)	(356,101)
Purchase of intangible asset	(1,003)	(5,965)
Cash used in investing activities	(177,975)	(359,608)
CASH FLOWS FROM FINANCING ACTIVITIES		
Loans and borrowings incurred	1,848,234	1,402,875
Repayment of loans and borrowings	(1,822,170)	(1,357,021)
Interest paid on bank loans and borrowings	(61,879)	(69,699)
Dividends paid	(121,004)	(270,776)
Cash used in financing activities	(156,819)	(294,621)
Net increase/(decrease) in cash and cash equivalents	21,635	(224,832)
Cash and cash equivalents at 1 January	(63,359)	161,473
Cash and cash equivalents at 31 December	(41,724)	(63,359)

Notice of the Annual General Meeting

Notice is hereby given that the forty sixth Annual General Meeting of the shareholders will be held at East African Cables premises on Addis Ababa road, off enterprise road, Industrial area, Nairobi, on Thursday 28th April, 2011 at 11.00am for the following purposes.

- To receive and if approved, adopt the Group's audited financial statements for the year ended 31st December, 2010 together with the Chairman's, Directors' and Auditors' reports thereon.
 - To approve the Directors' remuneration as provided in the accounts for the period ended 31st December, 2010.
 - To approve the payment of a first and final dividend of 200% representing Kshs. 1.00 per ordinary share.
 - To elect Directors in accordance with the Company's Articles of Association. Mr. Z.G. Mbugua and Mr. Bruno Thomas retire by rotation and being eligible offer themselves for re-election at the forth coming Annual General Meeting.
 - To appoint the auditors for the ensuing year and to authorize the Directors to fix their remuneration.
6. SPECIAL BUSINESS
- To increase the Authorised Share Capital of the Company by passing the following resolution which will be proposed as an **ORDINARY RESOLUTION**:
THAT the Company's Authorized Share Capital be increased from Shillings one hundred and one million two hundred fifty thousand (KES 101,250,000.00) divided into two hundred and two million five hundred thousand (202,500,000) ordinary shares of fifty Cents (KES 0.50) each to Shillings one hundred and twenty six million five hundred and sixty two thousand five hundred shillings (KES 126,562,500.00) by the creation of fifty million six hundred twenty five thousand (50,625,000) new ordinary shares of fifty Cents (KES 0.50) each, bringing the total number of ordinary shares to two hundred and fifty three million one hundred and twenty five thousand (253,125,000) and that the new shares rank pari passu in all respects with the existing shares of the Company.
 - To reflect the alteration of the share capital of the company in the memorandum of association of the company by passing the following resolution which will be proposed as a **SPECIAL RESOLUTION**:

THAT clause 5 of the Memorandum of Association be amended so as to insert the following new clause 5 in substitution for and to the exclusion of the existing clause 5 with immediate effect:

"The Authorised Share capital of the Company is one hundred and twenty six million five hundred and sixty two thousand five hundred shillings (KES 126,562,500.00) divided into two hundred fifty three million one hundred and twenty five thousand (253,125,000) ordinary shares of fifty Cents (KES 0.50) each"

- To pass the following resolution as an **ORDINARY RESOLUTION (BONUS SHARE ISSUE)**:
To capitalize the sum of Shillings twenty five million three hundred and twelve thousand five hundred (KES 25,312,500.00) being part of the amount standing in the Revenue Reserves Account and such sum be made available for distribution amongst the shareholders of the issued shares of fifty cents (KES 0.50) each in the capital of the Company in the proportion of one (1) bonus share for every four (4) ordinary shares held, on condition that the sum shall not be paid in cash but shall be applied in paying up in full 50,625,000 ordinary shares of fifty cents (KES 0.50) each in the capital of the Company at present unissued, to be allotted and issued as fully paid at par to and amongst such members in the proportion of one (1) new ordinary share of KES 0.50 for every four (4) ordinary shares held.
 - To pass the following resolution as a **SPECIAL RESOLUTION**:
That Article 138 be deleted in its entirety and replaced with the following new regulation:
"Any dividend, interest or other sum payable in cash to the holder of shares may be paid:
i) by cheque or warrant sent through the post and addressed to such holder at his registered address or, in the case of joint holders, addressed to the holder whose name stands first on the Register in respect of the shares, at his or their risk, or
ii) by direct bank transfer or other automated electronic system of funds transfer, or
iii) by a mobile telephone money transfer system.
In the case of transfer under Article 138 (ii) or (iii) the funds shall be transmitted to the bank account or mobile telephone number or account information provided by the member (or joint holders) to the Company. Payment of the cheque or warrant or confirmation of payment made by a transmitting entity to the transferee of an electronic transfer shall in each case be a good discharge to the Company."
7. To transact any other business which may be properly transacted at an Annual General Meeting.

BY ORDER OF THE BOARD

Virginia Ndunge
Secretary
P.O Box 61120
00200 City Square
Nairobi
8th February, 2011

Note:

A member entitled to attend and vote is entitled to appoint a proxy to attend and vote on his/her behalf and such a proxy need not be a member of the Company. To be valid, proxy forms must be deposited at the Registered Office of the Company not less than 48 hours before the appointed time of the meeting. Form of proxy can be downloaded from the group's website www.eacables.com

REPORT OF THE INDEPENDENT AUDITORS TO THE MEMBERS OF EAST AFRICAN CABLES LIMITED

Report on the Financial statements

We have audited the consolidated financial statements of East African Cables Limited set out on pages 24 to 60 which comprise the statements of financial position of the group and the company as at 31 December 2010, and the consolidated statement of comprehensive income, consolidated and company statement of changes in equity and consolidated statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory notes.

Directors' responsibility for the financial statements

As stated on page 3, the directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards in the manner required by the Kenyan Companies Act and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Auditors' responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with relevant ethical requirements and plan and perform the audit to obtain reasonable assurance whether the financial statements are free from material misstatement. An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on our judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, we consider internal control relevant to the entity's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion, the financial statements give a true and fair view of the financial position of the group and the company at 31 December 2010, and the group's financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

Report on other legal requirements

As required by the Kenyan Companies Act we report to you, based on our audit, that:

- we have obtained all the information and explanations, which to the best of our knowledge and belief were necessary for the purpose of our audit.
- in our opinion, proper books of account have been kept by the company, so far as appears from our examination of those books; and
- the statement of financial position of the company is in agreement with the books of account.

KPMG Kenya, Certified Public Accountants
Date: 8 February 2011

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share capital KShs '000	Share premium KShs '000	Revaluation reserve KShs '000	Retained earnings KShs '000	Foreign currency translation reserve KShs'000	Total equity attributable to equity holders of company KShs'000	Non-controlling interest KShs'000	Total equity KShs'000
Balance at 1 January 2009	101,250	545	94,748	958,577	(6,700)	1,148,420	218,419	1,366,839
Comprehensive income for the year	-	-	-	308,064	-	308,064	(12,031)	296,033
Profit for the year	-	-	-	308,064	-	308,064	(12,031)	296,033
Other comprehensive income								
Revaluation surplus on property, plant and equipment	-	-	470,394	-	-	470,394	-	470,394
Deferred tax on revaluation surplus	-	-	(141,118)	-	-	(141,118)	-	(141,118)
Foreign currency translation differences on foreign operations	-	-	-	-	8,401	8,401	(36,019)	(27,618)
Total comprehensive income	-	-	329,276	308,064	8,401	645,741	(48,050)	597,691
Contributions by and distributions to owners								
Dividends - 2008 paid	-	-	-	(202,500)	-	(202,500)	-	(202,500)
2009 interim paid	-	-	-	(101,250)	-	(101,250)	-	(101,250)
Balance at 31 December 2009	101,250	545	424,024	962,891	1,701	1,490,411	170,369	1,660,780
Comprehensive income for the year	-	-	-	226,211	-	226,211	(42,361)	183,850
Profit for the year	-	-	-	226,211	-	226,211	(42,361)	183,850
Other comprehensive income								
Revaluation surplus on property, plant and equipment	-	-	380,621	-	-	380,621	370,254	750,875
Deferred tax on revaluation surplus	-	-	(108,861)	-	-	(108,861)	(104,594)	(213,455)
Transfer	-	-	(26,140)	-	-	(26,140)	26,140	-
Foreign currency translation differences on foreign operations	-	-	-	-	(24,586)	(24,586)	(9,905)	(34,491)
Total comprehensive income	-	-	245,620	226,211	(24,586)	447,245	239,534	686,779
Contributions by and distributions to owners								
Dividends - 2009 paid	-	-	-	(101,250)	-	(101,250)	-	(101,250)
Balance at 31 December 2010	101,250	545	669,644	1,087,852	(22,885)	1,836,406	409,903	2,246,309

Explanatory Notes to Financial Statements

A full copy of the Company's financial statements including notes are available from our website www.eacables.com